

Do Investors' Cultural Traits Affect How They Process Information?



AUTHORS

KEVIN BRADY

LUIS GARCIA-FELJOO

DISCUSSANT

BOONE BOWLES

Big Picture



- *“We examine how publicly available information (PAI) affects stock returns using an international sample of equities experiencing large price changes” - Abstract*
- Classifies large price movements as those that are accompanied by analyst reports and those that are not. - Savor (2012)

Three Hypotheses



1. Does PAI affect price movements over/under reaction internationally?
 - Out of sample test of Savor (2012).
2. Is the effect of PAI the same across all countries?
3. How do cultural traits influence the effect of PAI?
 1. Trust
 2. Risk Tolerance
 3. Overconfidence

Hypothesis 1



Does PAI affect price movements over/under reaction internationally?

- Yes!
- Investors overreact to shocks...
- ... but not as much when the shock is accompanied by information.

Hypothesis 2



Is the effect of PAI the same across all countries?

● No!

○ For negative shocks...

- ▢ ...12 countries move from inefficient to efficient pricing with PAI.
- ▢ ...2 countries move from efficient to inefficient pricing with PAI.

○ For positive shocks...

- ▢ ...17 countries move from inefficient to efficient pricing with PAI.
- ▢ ...4 countries move from efficient to inefficient pricing with PAI.

Hypotheses 3, 4, 5



How do cultural traits influence the effect of PAI?

3. Less overreaction to shocks with PAI in **high trust** countries.
4. Less overreaction to shocks with PAI in countries with **less risk tolerance**.
5. Investors' overconfidence matters.
 - Less overreaction to negative shocks with PAI in high **overconfidence** countries.
 - More overreaction to positive shocks with PAI in high **overconfidence** countries.

3 Points



1. 37% of the observations come from 2000-2001 or 2008-2009.

Country	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	Total
ARG	11	17	14	41	58	33	97	338	67	14	-	1	3	49	16	8	6	14	9	5	6	807
AUS	95	115	289	387	377	825	2,287	1,122	927	400	582	796	1,058	5,087	3,822	1,386	1,831	1,983	3,748	3,586	3,406	34,109
AUT	4	8	25	46	204	203	134	60	56	8	13	21	18	272	178	64	38	6	26	13	14	1,411
BEL	10	17	7	41	27	105	223	134	119	15	13	22	56	329	278	62	67	81	52	37	50	1,745
CHE	2	17	6	48	32	126	458	489	303	58	27	64	77	352	342	54	125	41	65	31	31	2,748
CHL	3	1	13	109	55	9	19	23	14	11	4	1	2	17	20	2	17	9	3	23	15	370
CHN	91	155	145	558	285	327	382	118	127	163	223	547	1,256	2,452	1,172	987	1,012	624	1,656	1,945	6,052	20,277
CZE	-	3	-	74	60	24	16	18	2	-	3	-	-	13	14	3	2	-	1	-	-	233
DEU	20	45	103	247	650	2,206	4,267	3,703	2,182	589	380	442	543	3,010	2,168	864	936	625	679	503	645	24,807
DNK	6	4	19	94	114	181	239	209	138	91	58	51	46	317	326	143	151	108	44	33	47	2,419
ESP	40	112	46	40	35	91	65	38	25	6	7	30	32	159	179	96	98	183	102	53	78	1,515
EST	-	-	-	20	5	-	8	16	4	2	-	1	23	69	122	7	1	-	-	2	-	280
FIN	10	48	37	94	155	487	593	357	161	61	143	114	94	329	210	244	95	84	120	76	61	3,573
FRA	78	119	207	370	543	1,413	2,047	1,555	910	350	267	332	243	1,297	1,152	341	309	268	262	390	503	12,956
GBR	284	380	862	1,930	2,091	2,821	3,331	2,771	1,877	979	1,394	1,577	1,795	6,566	5,725	2,352	2,029	1,690	1,838	1,641	2,135	46,068
GRC	1	-	1	16	39	20	89	37	86	38	48	52	45	148	142	81	159	57	12	13	50	1,134
HKG	48	47	397	1,084	688	786	436	407	524	310	260	409	784	2,238	979	313	515	364	368	399	655	12,011
HUN	-	-	16	78	21	56	34	11	9	6	10	24	8	28	24	2	2	29	28	6	6	398
IDN	12	47	247	1,729	723	318	361	186	223	113	96	101	133	469	301	154	86	114	223	106	224	5,966
IND	-	4	16	16	67	127	176	110	194	184	186	396	802	1,940	1,650	603	744	766	1,440	1,364	1,749	12,534
IRL	2	8	10	14	28	18	28	30	59	67	69	24	41	318	282	162	59	61	47	94	47	1,468
ISR	-	4	6	5	15	76	139	74	103	18	16	18	40	275	199	47	124	69	41	27	91	1,387
ITA	-	-	-	55	81	134	155	130	80	38	60	52	80	396	516	166	197	171	87	97	108	2,603
JPN	481	183	2,166	3,359	3,686	3,812	2,562	2,279	2,497	1,629	1,217	1,737	1,780	4,914	2,812	737	828	545	1,353	771	730	40,078
KOR	4	38	601	2,905	2,041	2,798	1,128	852	735	507	566	495	703	1,246	879	373	655	415	328	584	977	18,830
LUX	-	-	-	-	1	2	14	21	9	7	1	6	29	74	96	60	26	37	11	33	11	438
Total	1,453	1,751	6,831	17,902	14,226	19,498	22,657	18,082	13,397	7,006	7,187	9,413	12,149	40,226	30,345	11,586	12,371	10,109	14,328	13,300	19,794	303,611
% of N	0.48%	0.58%	2.25%	5.90%	4.69%	6.42%	7.46%	5.96%	4.41%	2.31%	2.37%	3.10%	4.00%	13.25%	9.99%	3.82%	4.07%	3.33%	4.72%	4.38%	6.52%	100%

3 Points



1. 37% of the observations come from 2000-2001 or 2008-2009.
 - Do the tests hold when these years are withheld?
1. PAI improves pricing efficiency in many countries, but worsens it in a few.

Hypothesis 2



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● No!

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3 Points



1. 37% of the observations come from 2000-2001 or 2008-2009.
 - Do the tests hold when these years are withheld?
1. PAI improves pricing efficiency in many countries, but worsens it in a few.
 - Can you group these countries and give us a bit more detail before jumping to the traits tests?
 - Why not include the U.S. in these tests?
4. What about disagreement and PAI?
 - There is a shock accompanied by PAI, but analyst disagreement is high, how does PAI influence subsequent returns?